

BOARD OF CBA

MINUTES

(28.06.2016)

Refinancing Rate of June 28, 2016

The CBA Board Meeting of June 28, 2016 attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, Deputy Chairman Vaghtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Arkadi Khachatryan.

The Board Meeting opened with presentation of Situation Report as of June 28, 2016. It addressed current developments on inflation, external environment, real, fiscal and monetary sectors of the economy.

Deflation in May of 2016 amounted to 0.7% which was again mostly due to reduced prices of food products (contribution: more than 0.4 pp to headline deflation). In groups such as “Vegetable and potato”, “Dairy products” and “Eggs”, prices posted a decrease by 7.1%, 0.5% and 11.4%, respectively (contribution: 0.54 pp to headline deflation). The deflation of 0.1 pp during the month was driven also by the decrease in prices of non-food products and service tariffs. Groups such as “Garment and textile” and “Beauty items” of non-food products and “Housing, utility tariffs” of services reported a falling of prices by 1.7%, 1.3% and 0.8%, respectively (contribution: 0.23 pp to headline deflation). The inflation developments in May led the 12-month inflation rate to decline: at the end of the month it amounted to -2.1%.

The economic activity indicator in January-May 2016 exceeded the expectations, making up 5.5%, which was driven by growths of 8.8%, 8.6% and 4.7% registered in Industry, Services, and Agriculture, respectively. At the same time, as was expected, the impact of fiscal policy implemented by the Government in the second quarter on aggregate demand will be 1.6 contractionary. Although domestic private demand remains weak, reflecting private consumption and private investment on still a slow growth track, aggregate demand recovered in the second quarter more rapidly than expected, pointing to the trade, credit and import growth. At the same time, the foreign trade deficit continued to decline due to persisting high export growth.

The Board of CBA referred to the developments in the financial market, mostly reflecting the reaction of market participants to the further easing of monetary conditions by the CBA. Thus, between May 18 and June 20 of 2016, interest rates trended downward in the financial market. In the period mentioned above, relative to the period between March 30 and May 17 of 2016, average Repo Rate of the CBA has dropped by around 0.7 pp to 7.8%; average Interbank Repo Rate has fallen by nearly 0.6% to 7.8%; and average interest rate of short and medium-term government securities in the primary market has reduced by 0.8% and 0.5% to 9.8% and 13.6%, respectively.

In the domestic foreign exchange market in the period between May 18 and June 20 of 2016, relative to the period between March 30 and May 17 of 2016, trends were unfolded as follows: average exchange rate of USD/AMD appreciated by 0.5% to 478.0 drams; EUR/AMD appreciated by 1.7% to 537.1 drams, while the average exchange rate of RUB/AMD depreciated by 0.3% to 7.3 drams.

In January-May of 2016 the world economy continued recovering at a slow pace while some price stability was achieved in international markets of basic commodities. In May, the FAO's Food Price Index of June 2, 2016 rose by 2.1% against the previous month's index (the index had dropped by roughly 7.0% in relation to the same period of the previous year). According to the U.S. Department of Agriculture data, in the second quarter of 2016 export prices of Hard Red Wheat are expected to increase by 3.0% y/y (with 9.5% decrease q/q) and export prices of Rough Sugar as quoted at New York Board-Intercontinental Exchange are predicted to rise by 17.3% (with 0.2% decrease q/q).

According to the Central Bank estimates, in the second quarter of 2016 the average price of "Brent" crude oil, as quoted at Intercontinental Exchange, will grow by 34.3% against the previous quarter (with 26.0% reduction y/y). At London Metal Exchange, the copper price is expected to increase by 1.0% q/q (with 22.1% decrease y/y).

In the second quarter of 2016 Euro appreciated versus the U.S. dollar by 2.8%. Relative to the same reference period of the previous year, the appreciation versus the dollar has been 2.3%.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macroeconomic environments as well as the monetary policy directions.

In the external sector a slow pace of global economic growth, as well as relative stability achieved recently in international commodity markets were generally maintained. However, certain inflationary trends in respect of some commodities were observable. The CBA Board reckons that significant inflationary effects from the external sector are not likely in the upcoming months. Meanwhile, the CBA keeps on watching and monitoring financial markets' performance in the light of processes in the European Union.

The CBA Board notes that relatively high economic activity was further observable in Armenia in January-May against the same reference period of the previous year, which was concomitant with some recovery in aggregate demand. Although domestic demand is still weak, it is bouncing back at a faster-than-expected rate as a result of recent expansionary policy implementation by the CBA and the Government, which clearly points to the growth recorded in trade sector, import of goods, and economy lending.

The CBA Board estimates that inflation environment will remain low in the upcoming months and inflation expectations will be relatively stable. However, deflation will slow down considerably in the second half of the year. In that situation, the Board considers it reasonable to reduce the refinancing rate under which circumstance the deflationary environment will phase out gradually and the 12-month inflation rate will return to its target in the forecast horizon.

Later, as economic developments unfold, the CBA will steer its monetary policy directions accordingly while fulfilling the inflation target in the medium run.

At the June 28, 2016 meeting, the Board of the CBA reduced the Refinancing Rate by 0.25 pp to 7.5%. The Lombard Repo Facility Rate and Deposit Facility Rate were set at 9.0% and 6.0%, respectively.

The CBA Press Service